

lowest returns with the worst Sharpe ratio, and the value quintile earns the highest returns with the best Sharpe ratio. The quintiles also perform in almost perfect inverse rank order from glamour to value (column 5 outperforms column 4 and so on). Value not only beats glamour in terms of annual returns, it also does so on a risk-adjusted basis.

These are the average returns over the entire period. There's no guarantee that the value premium is positive over shorter periods of time. The value premium winks in and out of existence, and value sometimes underperforms glamour. In Figure 5.7, we examine the value premium (or discount) on a rolling five-year basis for large and small capitalization stocks.

Figure 5.7 shows that the value premium varies from period to period and is occasionally negative, during which times glamour has outperformed value. The worst period of extended underperformance has been the most recent period from 2010 to 2013. Over the short period of data available, this level of underperformance is unusually long. This may be related to the huge outperformance over the period from 2000 to 2005, when value generated its largest sustained premium over glamour. This period of outperformance might, however, also be attributable to the earlier underperformance of value stocks through the dot-com bubble in the late 1990s. The value premium, it seems, also mean reverts. If so, we are likely to again see

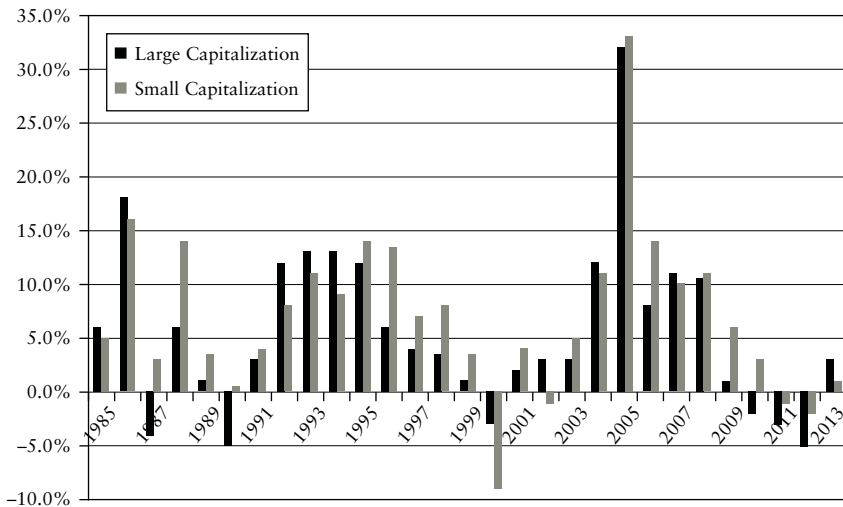


FIGURE 5.7 Rolling Five-Year Annualized Value Premium (Discount) for Price-to-Book Value Quintiles (1985 to 2013)

Source: Eyquem Investment Management LLC.